Feasibility Study for the Enhancement of Operations of IRPC as a Viable Local Economic Enterprise (LEE) under the General Fund

Historical Background

The Iloilo Rice Processing Complex, located in Barangay Amamaros, Pototan, Iloilo, officially started its operations on March 16, 2012, through a ₱196.36 million grant from South Korea. The state-of-the-art facility was established through a bilateral partnership among the Korea International Cooperation Agency (KOICA), the Philippine Department of Agriculture (DA), and the Local Government Units (LGUs) of Iloilo and Pototan, and was subsequently turned over to be managed and operated by the Pototan Farmers Multi-Purpose Cooperative (PFMPC). It was designed to mill up to 50 tons of palay per day and has a storage capacity of 1,100 tons and serve as a modern post-harvest facility to improve the efficiency of rice production, milling, drying, and storage, thereby reducing post-harvest losses and enhancing rice quality. As a major post-harvest asset, the primary objectives of the complex are to significantly reduce grain wastage by replacing traditional methods with modern mechanical drying and automated milling facilities, while enhancing the overall milling recovery rate and quality of local rice to make it highly competitive in wholesale markets. Furthermore, the complex aims to increase local farmers' incomes and eliminate their reliance on middlemen by providing affordable, localized cost-based custom services, including custom milling, mechanical drying, warehousing, and trucking support, ensuring farming groups retain maximum profit from their crop yields.

The provincial government has taken over the facility and intends to take the lead in its operations aligning with the hybrid rice program of the province by converting the facility into a sustainable local economic enterprise managed, supervised and controlled by the Iloilo Provincial Government. The key shifts made by the government in taking over focused on the following areas:

- Governance: Transitioning from DA oversight to PLGU management.
- Physical Infrastructure: Assessment, rehabilitation and expansion of facilities.

- Financial Management Strategy: From cooperative-led procurement to government-backed service optimization and financing.
- Operational Continuity: Reorganizing the operating personnel to assure continuity.

The previous years after the take-over marked the transition and stabilization efforts of the government focused on steadying the operations coupled with infrastructure upgrading and securing funds for infusion in its working capital towards sustainable operations aligned with the PLGUs Key Programs and economic development.





Currently, steps are taken on preparing a feasibility study and business plan to fully operationalize the RPC. As shown on the infographics on the left highlights the cooperative exit, transition, and survival to emphasize and depict the recovery efforts towards PLGU-led stabilization and infrastructure upgrades for sustainability and growth.

IRPC has shifted from **survival mode** to **growth mode**, strengthening its role in Iloilo's agricultural economy through modernization and government-backed sustainability.

Nature and Purpose

The Iloilo Rice Processing Complex is contemplated to be a Local Economic Enterprise (LEE) operated by the Iloilo Provincial Government as a strategic tool to provide the essential staple food of the province and fundamental services needed to enhance local economic growth while ensuring that operations are sustainable, accountable, and aligned with community needs.It is envisioned to be a revenue-generating business or service to provide the essential goods (rice) or services (rice value-adding), promote local development in the Iloilo Province and islands of Panay and Guimaras (Region 6) , and achieve financial self-sufficiency and economic stability in rice production.

It is intended to generate income while delivering rice at the barest minimum price and services which are cost-based that meet local community needs. This strategic action of the Iloilo provincial government aims to support **local economic development**, improve public service delivery, and contribute to poverty reduction by providing equitable access to essential goods and services.

Benefits to the Iloilo Provincial Government (LGU)

The benefits of establishing the IRPC as a Local Economic Enterprise (LEE) are multifaceted and contribute significantly to the overall economic and social well-being of Iloilo Province, Region 6 and on a greater scale, to national development. These benefits highlight the importance of establishing a Local Economic Enterprise in creating a resilient and sustainable local economy in the province and region, benefiting both the community and the environment.

- **Revenue Generation:** The Iloilo Rice Processing Complex (IRPC) as an LEE reduces the need for government subsidies and contribute to LGU finances since it will be generating its own income to cover its expenses;
- **Quality Rice Production and Improved Value adding Services**: It will ensure the quality rice production at the least cost and equitable delivery of rice-value adding services to the constituents;

- **Economic Development:** It will stimulate local economic growth in Iloilo Province and the entire Region 6 by attracting local investors and supporting SMEs;
- **Good Governance**: It showcases and promotes good governance in both the LGU and the private sector by encouraging transparency, accountability, and citizen participation in local development;
- **Job Creation**: To a certain extent the IRPC spurs job creation by providing employment opportunities for local residents and contributing to the overall job market;
- **Community Pride:** It fosters a sense of community pride and identity, as they recognize and are acknowledged to be the backbone of the local economy and contribute to its growth and development.
- **Sustainability:** It promotes sustainable practices in overall Rice Production and Value Chain, reducing reliance on long-distance transportation and minimizing carbon emissions which aligns with the goals of sustainable development.
- **Resilience and Ecological Wellbeing**: The establishment of the IRPC as a Local Economic Enterprise lays down the foundation for systemic sustainability, which fosters community wealth, ecological health, and resilience through localized, regenerative economic activity within the Province of Iloilo and the whole Region 6.
- **Empowerment:** The presence of IRPC empowers local entrepreneurs and businesses in the rice production industry as it fosters service innovation and serving as an "incubator" that should be replicated in other municipalities and provinces.

Policy Framework: Organizational and Legal Basis[1]

1. Republic Act No. 7160, otherwise known as the Local Government Code of 1991 (LGC), mandates, as a primary operative principle of decentralization, the establishment of an accountable, efficient, and dynamic organizational structure and operating mechanism in the local government units (LGUs) that will meet the priority needs and service requirements of its communities. As sanctioned by the LGC, the structure and operating mechanism may include the establishment and operation of local economic enterprises (LEEs).

[1] Manual on the Setting up and Operation of Local Economic Enterprises, published by the Department of Budget and Management, 2016.

2. *The policy framework that serves as basis for the creation and operation of LEEs is primarily the LGC including related circulars intended to strengthen compliance to the relevant provisions of the LGC and related national laws. The policies that guide the creation and operation of LEEs are:*

    a. ***Section 3(b)** emphasizes the responsibilities of LGUs to set up appropriate service delivery structures and mechanisms to meet the basic needs of its constituents, to quote: "Section 3(b). "There shall be established in every local government unit an accountable, efficient, and dynamic organizational structure and operating mechanism that will meet the priority needs and service requirements of its communities."*
    b. ***Section 3(f)** provides for inter-LGU partnerships in the provision of services and facilities including joint ventures in LEEs, to quote: "Section 3(f). Local government units may group themselves, consolidate or coordinate their efforts, services, and resources commonly beneficial to them."*
    c. ***"Section 3(l).** The participation of the private sector in local governance, particularly in the delivery of basic services, shall be encouraged to ensure the viability of local autonomy as an alternative strategy for sustainable development."*
    d. ***Section 15** lays down the basic functions of LGUs, to wit: (i) political subdivision of the national government of the Republic of the Philippines; and (ii) as a corporate body representing its constituency. As a corporate body, it can undertake business enterprises as a mode of production and delivery of goods and services to its constituents. To quote "Section 15: Political and Corporate Nature of Local Government Units. Every local government unit created or recognized under this Code is a body politic and corporate endowed with powers to be exercised by it in conformity with law. As such, it shall exercise powers as a political subdivision of the national government*

and as a corporate entity representing the inhabitants of its territory."

e. ***Section 17(a),*** *Pursuant to the above-quoted the creation of LEEs can be considered as part of the exercise of LGU powers incidental to the efficient and effective provision of basic services and facilities. Under the basic operating principle of self-reliance, said Section also lays down basic LGU performance requisites for service delivery – efficiency and effectiveness. To quote "Section 17(a). Local government units shall endeavor to be self-reliant and shall continue exercising the powers and discharging the duties and functions currently vested upon them. xxx xxx xxx Local government units shall likewise exercise such other powers and discharge such other functions and responsibilities as are necessary, appropriate, or incidental to efficient and effective provision of the basic services and facilities enumerated herein."*

f. ***Section 17(j)*** *further empowers the LGU to sell, lease, encumber, or dispose of economic enterprises to the private sector. It also provides for various forms of private sector participation in LEEs – as creditor, investor, lessor/operator, property buyer, etc. At the same time, it allows LGU divestment of LEEs. The section also allows "service or facility" cost recovery via fees and charges for LEEs. Thus, both capital (including financing cost) and operating costs may be recovered through user charges. "Section 17(j). To ensure the active participation of the private sector in local governance, local government units may, by ordinance, sell, lease, encumber, or otherwise dispose of public economic enterprises owned by them in their proprietary capacity."*

g. ***Section 17(g)*** *coupled with Section 17(j) implies that the LGU can subsidize LEEs as long as the services and facilities provided are covered under* ***Section 17(b)*** *and the LGU opts not to charge for the delivery for basic services and facilities. "Section 17(g) xxx xxx xxx Any fund or resource available for the use of local government units shall be first allocated for the provision of basic services or facilities enumerated in subsection (b) hereof before applying the same for other purposes, unless otherwise provided in this Code." "Section*

17(j) xxx xxx xxx Costs may also be charged for the delivery of basic services or facilities enumerated in this section."

h. *"**Section 22(d).** Local government units shall enjoy full autonomy in the exercise of their proprietary functions and in the limitations provided in this Code and other applicable laws."*

Market Study

The **Iloilo Rice Processing Complex (IRPC)** represents a pivotal agricultural infrastructure initiative designed to modernize grain post-harvest operations, strengthen food security, and enhance farmgate value addition in Western Visayas. Traditionally, regional smallholder rice farmers face severe post-harvest losses, grain degradation during wet-season harvesting, and restricted market access due to inadequate drying and milling facilities. The IRPC directly addresses these systemic vulnerabilities by providing an integrated, state-of-the-art facility offering mechanical grain drying, precision rice milling, commercial grain procurement, and logistics support. Operating as an agro-industrial service hub, the project bridges the gap between smallholder producers and commercial wholesale markets, transforming raw paddy into high-grade commercial rice while unlocking significant regional economic value.

Major sources of revenue come from the following products/services:

1. Commercial Rice Buy-and-Sell Operations (46.0)
2. Fee-for-Service Operations (53.5%)
3. Ancillary Logistics Services -Warehousing and Hauling (0.5%)

Description of Products and Services:

a. **Milled rice – IRPC** will buy wet paddy and process them to produce milled rice. Milled Rice has had its husk, bran, and germ removed, leaving only the white starchy endosperm produced by removing the outer layers of brown rice, including the husk, bran, and germ, through a milling process. This process results in a softer, fluffier grain with a milder flavor and longer shelf life compared to brown rice.

Types of Milled Rice

- Polished Milled Rice: Fully milled and polished to give a smooth, shiny surface; often enriched with vitamins to compensate for nutrient loss.
- Semi-Milled or Half-Milled Rice: Partially milled, retaining some of the bran and germ, offering more nutrients than fully milled rice.
- Head Rice and Broken Rice: Milled rice can include whole grains (head rice) and broken pieces, which are graded for quality.

b. By-Products (Rice Husks, Bran, Sorter and Brewer)

- Rice husks or hulls are generated during the first stage of rice milling, when rough rice or paddy rice is husked. Used as fuel, bedding, or in building materials
- Rice bran is generated when brown rice moves through the whiteners and polishers. Rich in nutrients, used for oil extraction or animal feed.
- Broken rice/ Sorter: Sold for processed foods or feed
- Brewer's rice is separated produced when milled rice is sifted.

c. Custom Milling Services

IRPC will provide **Custom milling services** to farmers and paddy/rice producers using Integrated multi-stage processing facilities which uses sequential machines for cleaning, hulling, whitening, and polishing, minimizing mechanical stress and producing high-quality rice suitable for domestic and export markets. The process will convert harvested paddy into polished, edible rice by removing the husk, bran layers, and impurities while maximizing yield and quality. It transforms raw paddy into white rice suitable for consumption. The process involves cleaning, hulling, separating, whitening, and polishing the grains, ensuring that the rice is free from impurities and has minimal broken kernels.

- **Cleaning of Paddy**
  Raw paddy contains straw, dust, stones, and other debris. Pre-cleaning uses rotary screens, air blowers, and sieves to remove these impurities, preventing damage to milling machinery and improving final rice quality

- **Husking / De-husking**
  The husk (outer protective layer) is removed using hullers or rubber roller machines, producing brown rice. Brown rice still contains the bran layer and endosperm. Proper husking minimizes grain breakage and preserves the kernel.
- **Paddy Separation**
  After husking, machines separate the brown rice from the husk. This ensures that only edible grains proceed to the next stage, while husks are collected as by-products for fuel or animal feed
- **Polishing / Whitening**
  Brown rice is passed through polishing machines to remove the bran layer, producing shiny, white rice. The degree of polishing can vary depending on consumer preference or regional standards. Polishing improves appearance, texture, and shelf life
- **Grading and Sorting**
  Rice is sorted by size, length, and broken grains using sieves and optical sorters. This step ensures uniformity and enhances market value. Broken rice is often used for processed foods or animal feed
- **Packaging**
  The final rice is weighed, blended if necessary, and packed for distribution. Proper packaging maintains quality and prevents contamination

d. Custom Drying

Rice custom drying is the process of reducing moisture content for safe storage or improve texture after harvesting. Proper post-harvest drying maintains rice quality, reduces storage losses, and allows flexible marketing and milling.

Rice can contain up to 25% moisture upon harvest which is too high for safe storage. High moisture can lead to mold growth, discoloration, pest infestation, and reduced germination of seeds. The goal of post-harvest drying is to reduce moisture to about 12%, which preserves quality and maximizes head rice yield. IRPC uses controlled high temperatures for rapid drying, suitable for commercial operations. Drying stops when the desired moisture is reached.

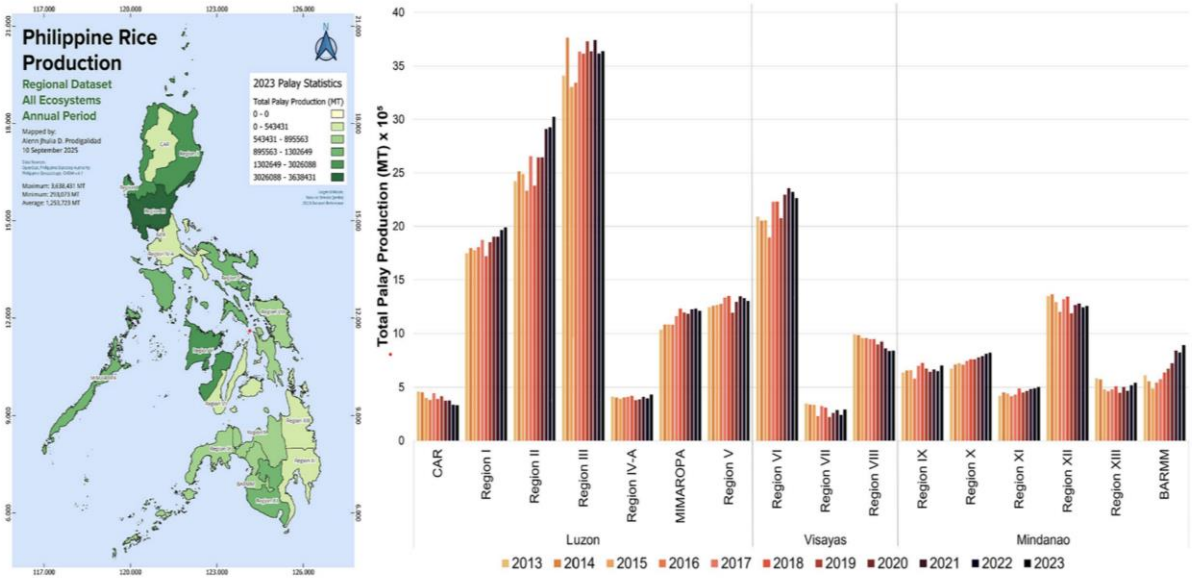
e. Ancillary Services (Trucking/Warehousing)

Ancillary services such as Trucking, hauling and warehousing are supporting services that enhance the functionality, reliability and efficiency that complement the Custom Milling and Custom Drying services and which add value to IRPC services

Market Situation: Supply and Demand

In a 2023 survey and data of the Philippine Statistics Authority, Western Visayas (Region VI) ranked as the 3rd highest rice-producing region in the country. The survey was conducted covering ten (10) years from 2013-2023 and shows average production of between 1.3 to 3.02 million metric tons.[2]

Rice Production (Supply)

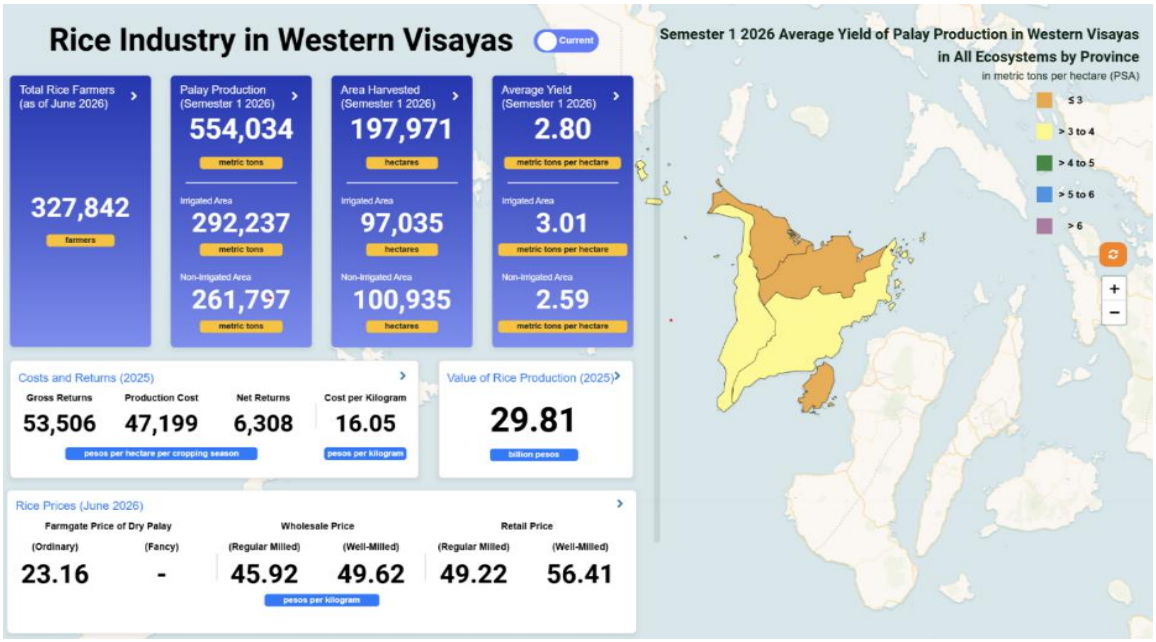


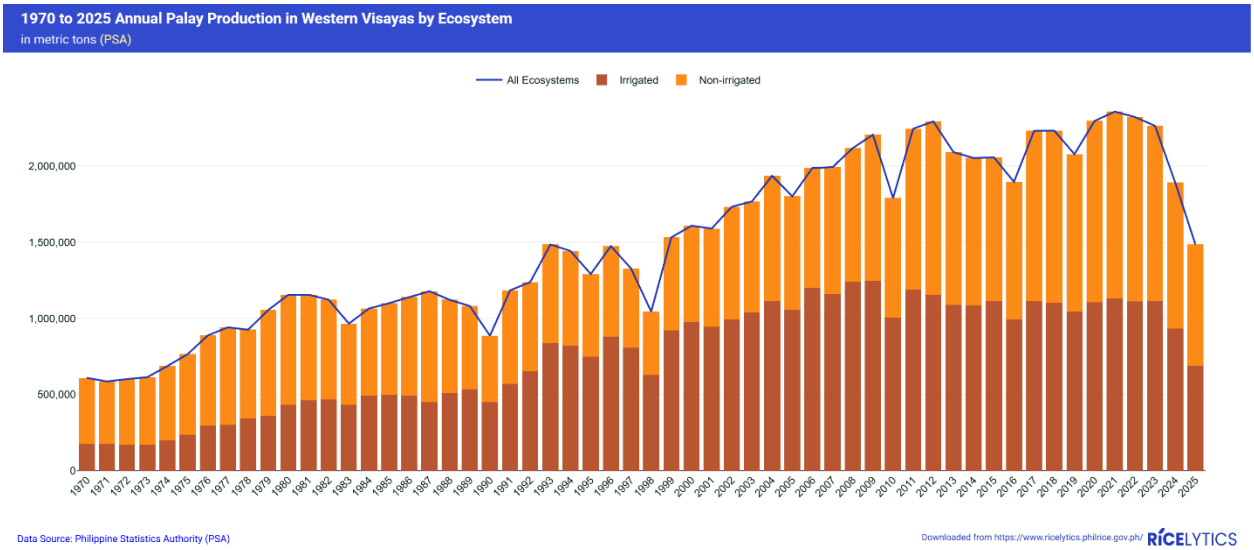
A longitudinal study from 1970 to 2025 conducted by the Philippine Statistics Authority shows an increasing trend of the Annual Palay (wet Paddy)

[2] Data and infographics were downloaded from the website of https://ricelytics.philrice.gov.ph/ on July 31, 2026.

production in Western Visayas indicating the conscious effort to increase total production in this region.[3]

In the first semester of 2026, the rice industry in Western Visayas recorded an average Palay Production of 554 thousand metric tons valued at PhP29.81 billion pesos. This is with the exclusion of Negros Occidental which has become part of the newly formed Negros Island Region (NIR). There is a total of 327,842 recorded rice farmers to produce this output in a





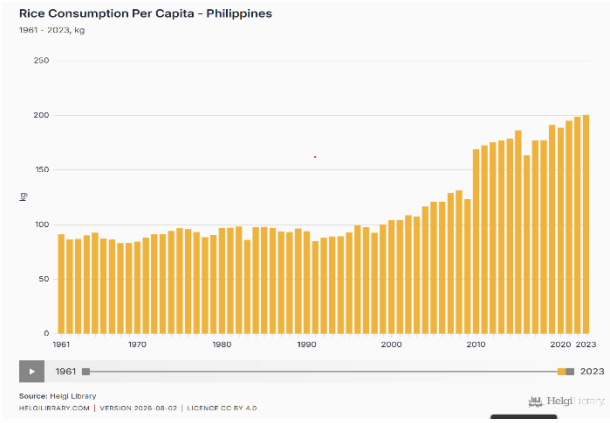
[3] Data and infographics were downloaded from the website of https://ricelytics.philrice.gov.ph/ on July 31, 2026.

total area of 197,971 hectares both irrigated and non-irrigated producing an average yield of 2.8 metric tons per hectare. Iloilo, Antique and Guimaras Island Provinces produce an average yield of between 3 to 4 metric tons per hectare and the other provinces in the region produce an average yield of less than 3 metric tons per hectare.

For Iloilo Province the Rice Industry has decreased remarkably from its record high of 837,852 metric tons of wet paddy (palay) in the year 2025 to only 257,686 metric tons in the first semester of 2026.



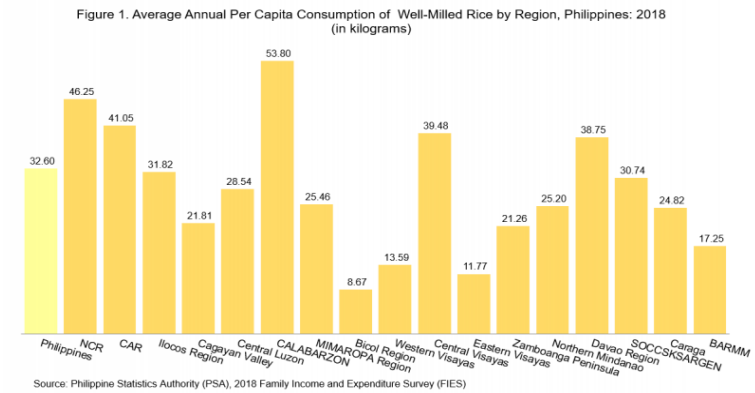
Rice Consumption (Demand)



Rice consumption per capita reached 200 kg in 2023 in Philippines, according to Faostat. This is 0.927% more than in the previous year.
Historically, rice consumption per capita in Philippines reached an all time high of 200 kg in 2023 and an all time low of 82.7 kg in 1968.
Philippines has been ranked 9th within the group of 176 countries we follow in terms of rice consumption per capita.

[4] Source: Downloaded from https://www.helgilibrary.com/indicators/rice-consumption-per-capita/philippines/ on August 1, 2026.

For the regular-milled rice, the average annual per capita consumption was estimated at 66.52 kilograms. On the average, Eastern Visayas recorded the highest average annual per capita consumption among regions at 104.03 kilograms. This was followed by Region VI (Western Visayas) at 102.03.[5]



For the IRPC perspective, the supply and demand situation laid down above indicates the market viability for the continuing operations of the Rice Processing Complex.

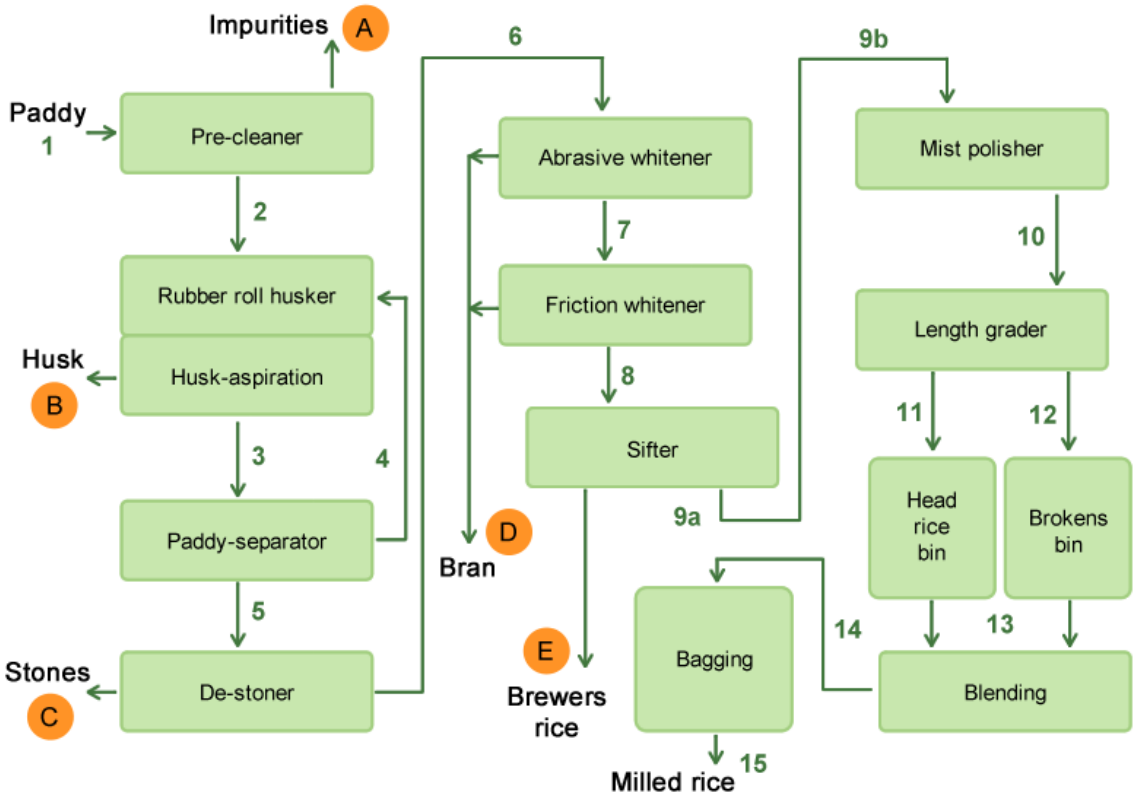
Currently, these are the other Rice Milling Providers in the Western Visayas Region:

1. HMP RICE MILL – Iloilo-Capiz Road, Macatol
2. KMJ Rice Mill -Iloilo Diversion Road, Iloilo City
3. Blesario rice mill – Mandurriao-San Miguel-Alimodian-Maasin-Cabatuan Road, Murubuan
4. Falsis Rice Mill – Iloilo R-2 Road 5001 Pavia Western Visayas
5. Rice Mill - Bolabog , Baje-Ngi-ngi-an-Bingawan Road Bolabog Western
6. GGS Rice Mill – Iloilo City Leganes Dumangas Coastal Rd 5000 Leganes Western Visayas
7. Joben Rice Mill – 101 F C Zulueta Street Oton Western Visayas
8. Restia Rice Milling Corp. – Iloilo City Leganes Dumangas Coastal Rd 5000 Iloilo City

[5] Source: Downloaded from https://psa.gov.ph/content/average-annual-capita-consumption-selected-agricultural-commodities-2018 on Aug. 1, 2026.

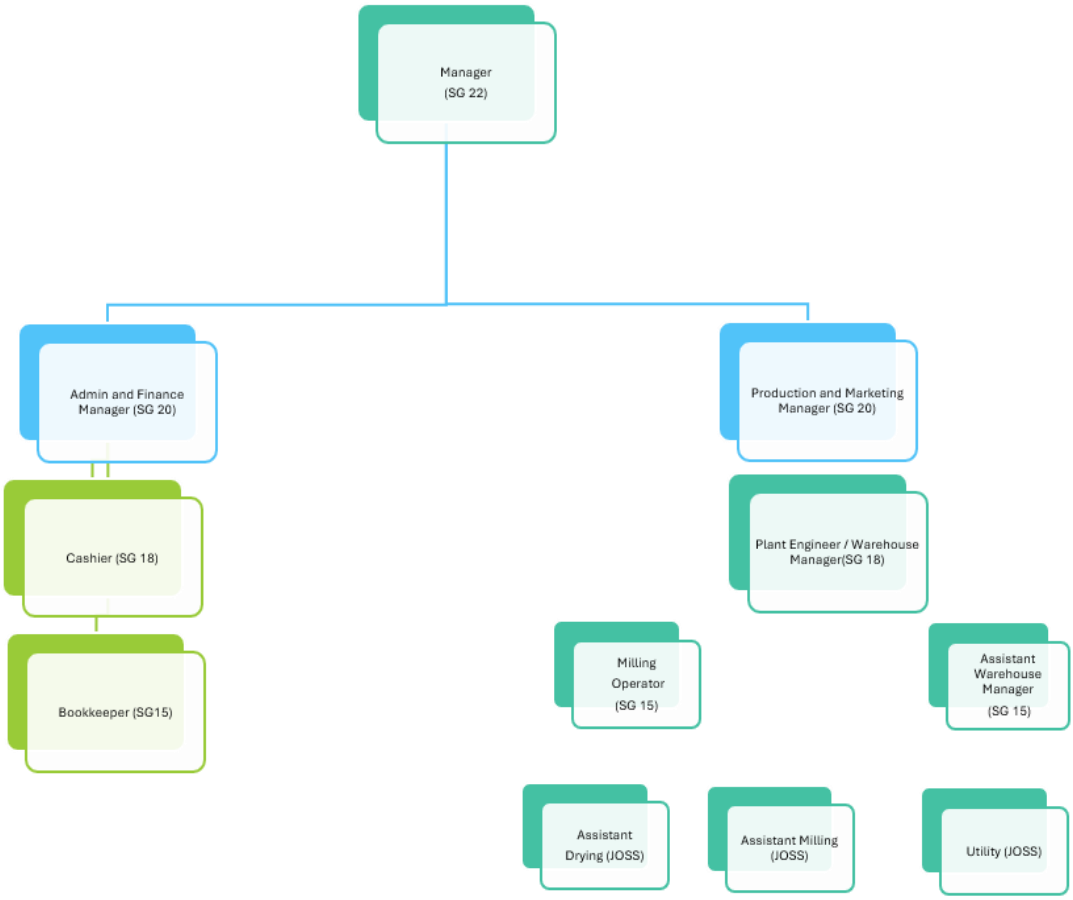
Operations and Production Study

The production system of the Iloilo Rice Processing Complex follows the complex but sophisticated one-stop shop rocessing. This is best exemplified in the following diagram.



Organization and Management

The following table of organization shows the projected organization and management of the IRPC to ensure its full functionality and efficient operations:



Corresponding to the table above, the following salary schedule constitutes the approximate payroll computation related to the personnel complement. This computation approximates the actual costs to be incurred based on the regulatory and mandatory provisions of the government. This also approximates the actual cash outlay on an annual basis starting with year 2027.

Categorized Salary Schedule (Indirect Labor vs. Administrative Expenses)

#	Designation	Employment Status	Salary Grade 2027 Tranche	Monthly Salary Rate (₱)	Annual Salary	Accounting Classification & Function
1. Administrative Expenses (Operating Expenses / OPEX)						
1	**Manager**	Regular	22	85,431.00	1,025,172.00	Executive Management & Business Strategy
2	**Admin and Finance Manager**	Regular	20	69,138.00	829,656.00	Financial Control, HR & Corporate Governance
3	**Production and Marketing Manager**	Regular	20	69,138.00	829,656.00	Sales, Commercial & Marketing Oversight
4	**Cashier**	Regular	18	56,332.00	675,984.00	Disbursements & Cash Management
5	**Bookkeeper**	Regular	15	44,148.00	529,776.00	Financial Accounting & General Ledger Maintenance
6	**Utility**	Contractual/JO	3	17,120.00	205,440.00	General Administrative Office Sanitation & Maintenance
	Subtotal Administrative Expenses:			**341,307.00**	**4,095,684.00**	
2. Indirect Labor (Factory Overhead / COGS)						
1	**Plant Manager and Marketing Manager (SG 18)**	Regular	18	56,332.00	675,984.00	Plant Operations & Processing Supervision
2	**Milling Operator**	Regular	15	44,148.00	529,776.00	Technical Equipment Operation & Mill Maintenance
3	**Assistant Warehouse Manager**	Regular	15	44,148.00	529,776.00	Warehouse Inventory Control & Palay/Rice Handling
4	**Utility-Assistant Milling Operator**	Contractual/JO	3	17,120.00	205,440.00	Assisting Milling Floor & Technical Operations
5	**Utility-Assistant Drying Operator**	Contractual/JO	3	17,120.00	205,440.00	Assisting Mechanical Grain Drying Operations
	Subtotal Indirect Labor:			**178,868.00**	**2,146,416.00**	
	GRAND TOTAL SALARIES:			**520,175.00**	**6,242,100.00**	

Pertinent to this organizational structure, the following tables show the Annual Bonuses and mandatory deductions and the employer contributions

to the mandatory deductions of the employees and their respective net salaries:

Annual Bonus Schedule (13th & 14th Month Pay)					
POLICY NOTE: Only Regular Employees are eligible for 13th Month Pay and 14th Month Pay Bon					
Designation	**Monthly Gross Salary**	**Rate / Hour**	**Bonuses**		**Total Bonuses**
			13th Month Pay	**14th Month Pay**	
Manager	85,431.00	485.40	85,431.00	85,431.00	170,862.00
Admin and Finance Manager	69,138.00	392.83	69,138.00	69,138.00	138,276.00
Production and Marketing Manager	69,138.00	392.83	69,138.00	69,138.00	138,276.00
Cashier	56,332.00	320.07	56,332.00	56,332.00	112,664.00
Bookkeeper	44,148.00	250.84	44,148.00	44,148.00	88,296.00
Plant Manager and Marketing Manager	56,332.00	320.07	56,332.00	56,332.00	112,664.00
Milling Operator	44,148.00	250.84	44,148.00	44,148.00	88,296.00
Assistant Warehouse Manager	44,148.00	250.84	44,148.00	44,148.00	88,296.00
GRAND TOTAL	**468,815.00**		**468,815.00**	**468,815.00**	**937,630.00**

Designation	**Monthly Gross Salary**	**Employer Share**				
		GSIS (12% of salary)	**HMDF (2% of salary)**	**PHILHEALTH (2.5%)**	**MONTHLY TOTAL**	**Annual TOTAL**
Manager	85,431.00	10,251.72	200.00	2,135.78		
Admin and Finance Manager	69,138.00	8,296.56	200.00	1,728.45		
Production and Marketing Manager	69,138.00	8,296.56	200.00	1,728.45		
Cashier	56,332.00	6,759.84	200.00	1,408.30		
Bookkeeper	44,148.00	5,297.76	200.00	1,103.70		
Plant Manager and Marketing Manager (SG 18)	56,332.00	6,759.84	200.00	1,408.30		
Milling Operator	44,148.00	5,297.76	200.00	1,103.70		
Assistant Warehouse Manager	44,148.00	5,297.76	200.00	1,103.70		
Utility-Assistant Milling Operator	17,120.00	2,054.40	200.00	428.00		
Utility-Assistant Drying Operator	17,120.00	2,054.40	200.00	428.00		
Utility	17,120.00	2,054.40	200.00	428.00		
GRAND TOTAL		**62,421.00**	**2,200.00**	**13,004.38**	**77,625.38**	**931,504.50**

#	Designation	Employment Status	rade 2027	Salary Rate (₱)	Annual Salary	Deductions				Other Benefits	Net Salary (Monthly)	Net Salary (Annual)
1. Administrative Expenses (Operating Expenses / OPEX)						GSIS (9% of salary)	HMDF (2% of salary)	Withholding Tax(BIR Calculator)	PHILHEALTH (2.5%)	PERA		
1	Manager	Regular	22	85,431.00	1,025,172.00	-₱ 7,688.79	-200	-11,226.66	-2135.78	2000	₱ 66,179.78	₱ 794,157.30
2	Admin and Finance Manager	Regular	20	69,138.00	829,656.00	-₱ 6,222.42	-200	-7,805.83	-1728.45	2000	₱ 55,181.30	₱ 662,175.60
3	Production and Marketing Manager	Regular	20	69,138.00	829,656.00	-₱ 6,222.42	-200	-7,805.83	-1728.45	2000	₱ 55,181.30	₱ 662,175.60
4	Cashier	Regular	18	56,332.00	675,984.00	-₱ 5,069.88	-200	-5,539.16	-1408.3	2000	₱ 46,114.66	₱ 553,375.92
5	Bookkeeper	Regular	15	44,148.00	529,776.00	-₱ 3,973.32	-200	-3,382.60	-1103.7	2000	₱ 37,488.38	₱ 449,860.56
6	Utility	Contractual/JO	3	17,120.00	205,440.00	-₱ 1,540.80	-200	0.00	-428	2000	₱ 16,951.20	₱ 203,414.40
	Subtotal Administrative Expenses:			**341,307.00**	**4,095,684.00**	**-₱ 30,717.63**	**-1200**	**-35,760.08**	**-8532.68**	**12000**	**₱ 277,096.62**	**₱ 3,325,159.38**
2. Indirect Labor (Factory Overhead / COGS)												
1	Plant Manager and Marketing Manager (SG 18)	Regular	18	56,332.00	675,984.00	-₱ 5,069.88	-200	-5539.16	-1408.3	2000	₱ 46,114.66	₱ 553,375.92
2	Milling Operator Assistant	Regular	15	44,148.00	529,776.00	-₱ 3,973.32	-200	-3382.6	-1103.7	2000	₱ 37,488.38	₱ 449,860.56
3	Warehouse Manager Utility-Assistant	Regular	15	44,148.00	529,776.00	-₱ 3,973.32	-200	-3382.6	-1103.7	2000	₱ 37,488.38	₱ 449,860.56
4	Milling Operator Utility-Assistant	Contractual/JO	3	17,120.00	205,440.00	-₱ 1,540.80	-200	0	-428	2000	₱ 16,951.20	₱ 203,414.40
5	Drying Operator	Contractual/JO	3	17,120.00	205,440.00	-₱ 1,540.80	-200	0	-428	2000	₱ 16,951.20	₱ 203,414.40
	Subtotal Indirect Labor:			**178,868.00**	**2,146,416.00**	**-₱ 16,098.12**	**-1000**	**-12304.36**	**-4471.7**	**10000**	**₱ 154,993.82**	**₱ 1,859,925.84**
	GRAND TOTAL SALARIES:			**520,175.00**	**6,242,100.00**							

Financial Assumptions

1. Inflation Factors were incorporated in the Financial projections following the recent data from the Philippine Statistics Authority.[6]

Following the trend at the national level and in NCR, the overall inflation in AONCR decelerated to 6.7 percent in June 2026 from 7.1 percent in May 2026. Inflation rate in the area was recorded at 1.1 percent in June 2025. The deceleration of inflation in the area was primarily contributed by the slower annual increment in the transport index at 13.8 percent during the month from 17.3 percent in May 2026. Also contributed to the downtrend of the overall inflation in AONCR were the lower annual growth rates in the indices of food and non-alcoholic beverages at 5.8 percent in June 2026 from 6.3 percent in the previous month, and furnishings, household equipment and routine household maintenance at 3.8 percent during the month from 4.0 percent in May 2026.

[6] Source: Downloaded from https://psa.gov.ph/content/summary-inflation-report-consumer-price-index-2018100-june-2026 August 2, 2026.

Table B. Year-on-Year Inflation Rates in the Philippines, All Items
January 2021 to June 2026
In Percent
(2018=100)

Month	Year					
	2021	2022	2023	2024	2025	2026
January	3.7	3.0	8.7	2.8	2.9	2.0
February	4.2	3.0	8.6	3.4	2.1	2.4
March	4.1	4.0	7.6	3.7	1.8	4.1
April	4.1	4.9	6.6	3.8	1.4	7.2
May	4.1	5.4	6.1	3.9	1.3	6.8
June	3.7	6.1	5.4	3.7	1.4	6.4
July	3.7	6.4	4.7	4.4	0.9	
August	4.4	6.3	5.3	3.3	1.5	
September	4.2	6.9	6.1	1.9	1.7	
October	4.0	7.7	4.9	2.3	1.7	
November	3.7	8.0	4.1	2.5	1.5	
December	3.1	8.1	3.9	2.9	1.8	
Average	**3.9**	**5.8**	**6.0**	**3.2**	**1.7**	**4.8**

Source: Philippine Statistics Authority, Retail Price Survey of Selected Commodities for the Generation of Consumer Price Index

2. The average annual inflation rate from 2027 to 2031 is based on the Average inflation rate as observed in the time series from 1980 to 2031 as reflected on the graph below : [7]

- 2027: 3.24%
- 2028: 3.04%
- 2029: 3.00%
- 2030: 3.00%
- 2031: 3.00%



In 2025, the average inflation rate in the Philippines stood at 1.66 percent. Between 1980 and 2025, the figure dropped by 16.54 percentage points, though the decline followed an uneven course rather than a steady trajectory. From 2025 to

[7] Source: Downloaded from https://www.statista.com/statistics/578717/inflation-rate-in-philippines/ on Aug. 1, 2026.

2031, the inflation will rise by 1.34 percentage points, showing an overall upward trend with periodic ups and downs. This indicator measures inflation based upon the year-on-year change in the average consumer price index, expressed in percent. The latter expresses a country's average level of prices based on a typical basket of consumer goods and services.

3. The infusion of fresh capital of PESOS: FIFTEEN MILLION (PhP 15,000,000.00) will be used for working capital needs of the IRPC specifically for the purchase of wet paddy (Palay) at an average rate of PhP18.00 per kilo based on the current (2026) farm gate prices of harvested palay. This will translate to approximately 834,000 metric tons (84 days operations). Due to inflationary factors, the price per kilo of wet paddy are expected to increase as follows:

- 2027 - (PhP 18.00 @3.24% inflation) = PhP 18.60
- 2028 - (PhP18.60 @ 3.04% inflation) = PhP 19.17
- 2029 - (PhP 19.17 @ 3.00% inflation) = PhP 19.74
- 2030 - (PhP19.74 @ 3.00% inflation) = PhP 20.33
- 2031 - (PhP 20.33 @ 3.00% inflation) = PhP 20.94

To maintain the level of wet paddy complete rice processing and selling, with the inflationary factor on the prices of wet paddy, the following will be needed to be infused either through a profit plow back or fresh injection of working capital.

Items	2027	2028	2029	2030	2031
Wet Paddy needed to be purchased and processed	840,000	840,000	840,000	840,000	840,000
Purchase price	18.6	19.17	19.74	20.33	20.94
Capital Needed	15,624,000.00	16,102,800.00	16,581,600.00	17,077,200.00	17,589,600.00
Additional Funds to be infused	**624,000.00**	**1,102,800.00**	**1,581,600.00**	**2,077,200.00**	**2,589,600.00**

4. The normal capacity of the IRPC is equivalent to 264 days a year. It is assumed that 180 (264 days- 64 days) will be used for custom drying and custom milling and as the IRPC progresses into profitable operations, it will continuously plow back 10-20% of its income to increase the volume of purchase and process milling of wet paddy into salable milled rice.

5. Revenue projections for the first year of enhanced operations (2027) are presented below.

RICE MILLING & CUSTOM SERVICES REVENUE PROJECTION

Category	Line Item / Metric	Amount / Value
Rice Complete Milling	Seed Money/ Working Capital	15,000,000.00
	Price per kilo of Wet Paddy	18.00
	Number of kilos that can be purchased	833,333.33
	Operating days in a year for Rice Production	83.33
	Wet Paddy purchased	833,333.33
	Drying Recovery (in kilos) 80%	666,666.67
	Milling Recovery (in kilos) 60%	400,000.00
	Average Selling Price per Kilo	50.6975
	Projected Annual Revenue from Buy and Sell Rice	**20,279,000.00**
	By-Products (Bran, Sorter and Brewer)	**1,013,950.00**
Custom Drying	Daily Cap for CD per Drying bin (kg)	8,000.00
	Number of Drying bins	5
	Total Drying Cap per Load (kg)	40,000.00
	Number of Loads per day	2
	Daily Cap for CD (kg)	80,000.00
	Annual operating days allotted for CD	180
	Max Annual wet paddy for CD (in kilos)	14,400,000.00
	Drying Recovery (in kilos) 80%	11,520,000.00
	Average Custom Drying Fee per kilo	1.25
	Projected Annual Revenue from Custom Drying	**14,400,000.00**
Custom Milling	Dry Paddy Custom Drying Output	11,520,000.00
	Estimated Max Dry Paddy for CM (50%)	5,760,000.00
	Milling Recovery (60%)	3,456,000.00
	Average Custom Milling Fee per kilo	3.00
	Projected Annual Revenue from Custom Milling	**10,368,000.00**
Ancillary Services	**Ancilliary Services (Trucking/Hauling)**	**247,680.00**
TOTAL	**TOTAL REVENUE**	**46,308,630.00**

6. Any income derived from the operations will be used to CROSS – SUBSIDIZE the Rice Program of the PLGU, specifically the “Benteng Bigas” (Rice at 20.00 per kilo) dedicated for the support of the indigents.

7. The projections for the operating expenses will use a judgmental approach and percentage of sales method from 2027 to 2031. Tabled below are the average rates to be used for the projections.

8. The following macro-economic basis and demographic assumptions are forwarded to come up with reasonable approximations of inputs in the financial projections.

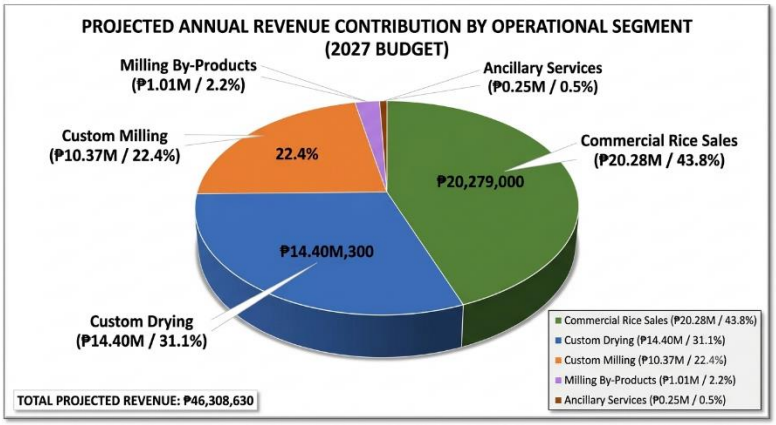
MACROECONOMIC BASIS & DEMOGRAPHIC ASSUMPTIONS				
Baseline Context & Data Sources for Western Visayas (Iloilo City & Province)				
Macro Factor / Parameter	**Baseline Data Point**	**Annual Projected Rate**	**Data Source / Reference Basis**	**Application in Financial Model**
Iloilo City Population Growth Rate	473,728 (2024 Census)	0.83% annually	Philippine Statistics Authority (PSA)	Drives urban retail commercial rice consumption demand.
Iloilo Province Population Growth Rate	2,082,616 (2024 Census)	0.36% annually	Philippine Statistics Authority (PSA)	Reflects rural agricultural farming population & paddy volume aggregation.
Blended Regional Growth Multiplier	2,556,344 combined population	0.45% weighted average	Weighted PSA Census Synthesis	Serves as the baseline volume scaling driver for regional rice production.
Philippine Headline Inflation Rate	3.0% Midpoint Target	3.00% annually	Bangko Sentral ng Pilipinas (BSP)	Indexes selling prices per kilo, custom service unit fees, and operational vendor costs.

9. On the following table, Macroeconomic Growth Drivers were used to approximate expense projections on the financial statements to bring out a true approximation of the operating scenario of the IRPC for the next 5 years (2027-2031).

EXPENSE IMPACT & MACROECONOMIC GROWTH DRIVERS METHODOLOGY *Classification of Operating Expenses by Sensitivity to Regional Population Growth and Inflation*				
Expense Category / Group	**Applicable Line Items**	**Primary Driver**	**Annual Escalation Rate**	**Economic & Operational Rationale**
Variable Direct Operating Costs	Raw Materials (Palay), Freight In, Direct Labor (Pakyaw), Electricity	Composite Growth (V	3.45% annually	Subject to dual escalation: price per kilo/kWh/fuel increases with BSP inflation (3.0%), while total physical throughput expands to meet regional population growth (0.45%).
Volume-Driven Incentives	Farmers' Incentives	Population Growth Or	0.45% annually	Scales directly with total agricultural paddy volume aggregated to fulfill regional consumer rice demand.
Fixed Direct & Admin Overhead	Indirect Labor, Plant Supplies, Salaries, Office Supplies, Insurance, Professional Fees, Repairs, SSS/GSIS/PhilHealth, Travel, Meetings	Headline Inflation On	3.00% annually	Overhead items do not increase per bag milled but require annual cost-of-living salary indexation and vendor price adjustments.
Variable Admin Expenses	Commissions, Freight Out, Fuel/Oil/Lubricants, Water Utility	Composite Growth (V	3.45% annually	Tied to total sales revenue volume, transport activity for finished goods distribution, and operational utility usage.
Fixed Non-Escalating Expenses	Depreciation Expense	Fixed Cost (Zero Esc	0.00% annually	Capital expenditure depreciation schedules follow fixed straight-line accounting amortizations and remain unimpacted by market inflation or short-term volume changes.

Projections on the initial year of operations are reflected below:

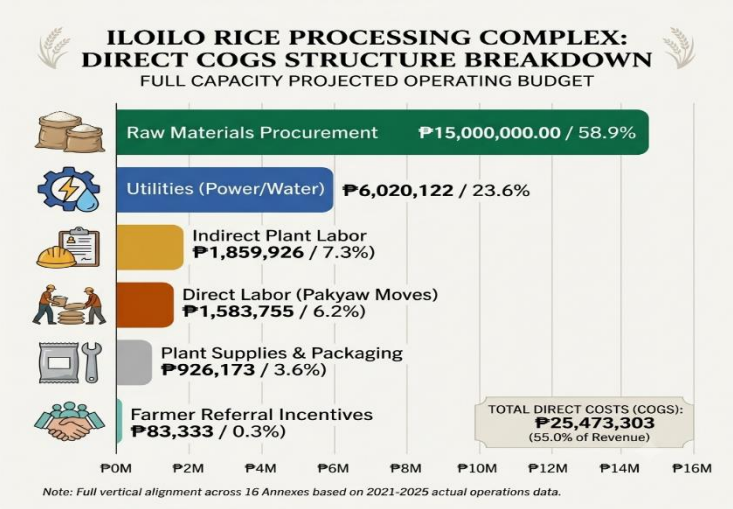
The financial engine of the IRPC is built upon a hybrid, multi-stream revenue model that balances commercial commodity trading with high-margin, fee-for-service operations. Under full operational capacity, total annual revenue is projected at ₱46,308,630.00. Fee-for-Service Operations (53.5% / ₱24,768,000.00): The primary cash flow stabilizer relies on custom drying and custom milling. Mechanical drying utilizes 5 drying bins operating over 180 annual days (processing 14,400,000 kg of wet paddy at ₱1.25/kg) to generate ₱14,400,000.00. Custom milling processes 5,760,000 kg of dried paddy (at ₱3.00/kg) to generate ₱10,368,000.00. Commercial Rice Buy-and-Sell Operations (46.0% / ₱21,292,950.00): Sourcing 833,333.33 kg of wet paddy using ₱15,000,000.00 in revolving working capital yields 400,000 kg of milled rice sold at an average wholesale price of ₱50.70/kg (₱20,279,000.00) alongside milling by-products (₱1,013,950.00). Ancillary Logistics Services (0.5% / ₱247,680.00): Dedicated hauling and warehousing services maximize fleet utilization.



Direct Operational Cost Drivers (COGS)

Direct Cost of Goods Sold (COGS) totals **₱25,473,302.82**, representing **55.01% of total income** and establishing a **Gross Operating Margin of 44.99% (₱20,835,321.18)**.

- **Raw Material Procurement (₱15,000,000.00):** Constitutes 58.88% of COGS, acquiring 833,333.33 kg of wet paddy at a farmgate benchmark of ₱18.00/kg. Inbound freight is fully absorbed using internal fleet vehicles.
- **Utility Intensity (₱6,020,121.90):** Continuous mechanical drying and industrial milling electricity requirements scale at 13.00% of gross revenue based on 5-year historical operational trends.
- **Labor Allocation & Plant Overhead (₱3,443,680.99):** Direct handling and bagging labor (*Pakyaw*) accounts for ₱1,583,755.15 (3.42% of revenue), supported by ₱1,859,925.84 in indirect plant supervisory salaries.
- **Direct Consumables & Sourcing (₱1,009,505.93):** Plant packaging supplies scale at 2.00% of revenue (₱926,172.60), complemented by ₱83,333.33 in farmer referral incentives.



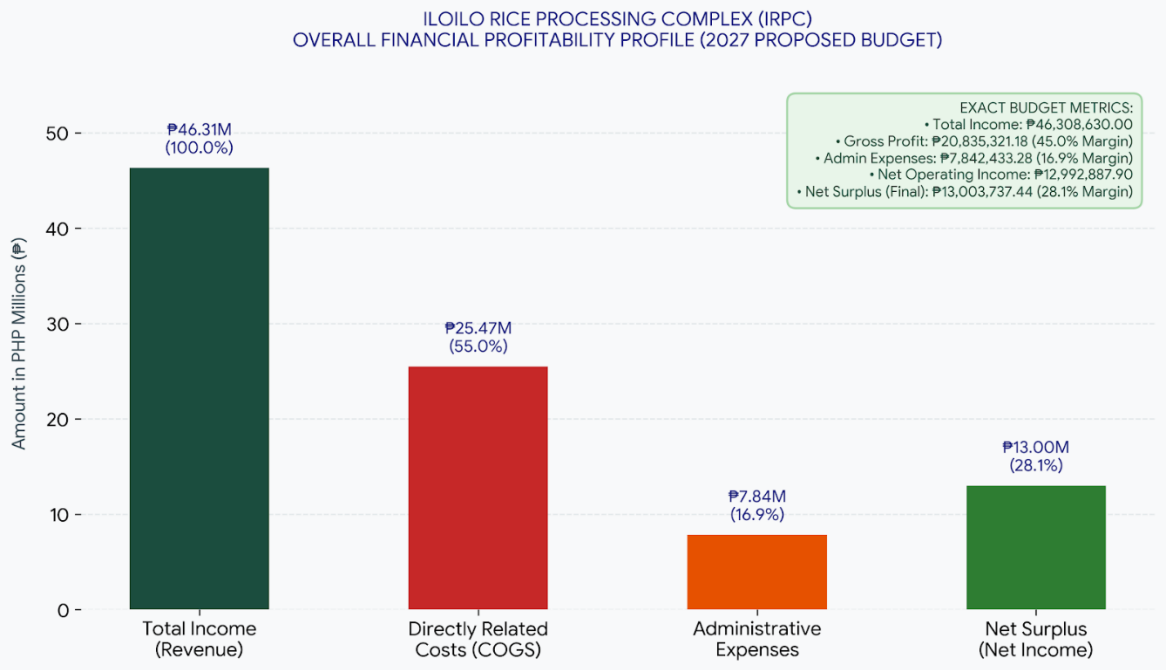
Human Capital Framework & Administrative OPEX

The organization utilizes 11 key positions divided between executive management and plant operations. Gross annual payroll stands at **₱6,242,100.00**, supported by **₱931,504.50** in mandatory statutory employer overhead (GSIS 12%, PhilHealth 2.5%, HDMF 2%) and **₱937,630.00** in regular employee 13th and 14th-month bonuses. It is based on the Government Salary Grade Fourth Tranche that will be implemented next year.

Non-salary administrative expenses (**₱2,648,139.40**) represent 5.72% of total revenue. Key non-salary allocations include vehicle/machinery upkeep (**₱824,290.59**), fuel and lubricants (**₱463,084.60**), fixed asset depreciation (**₱480,000.00**), audit fees (**₱100,000.00**), and capacity training (**₱100,000.00**).

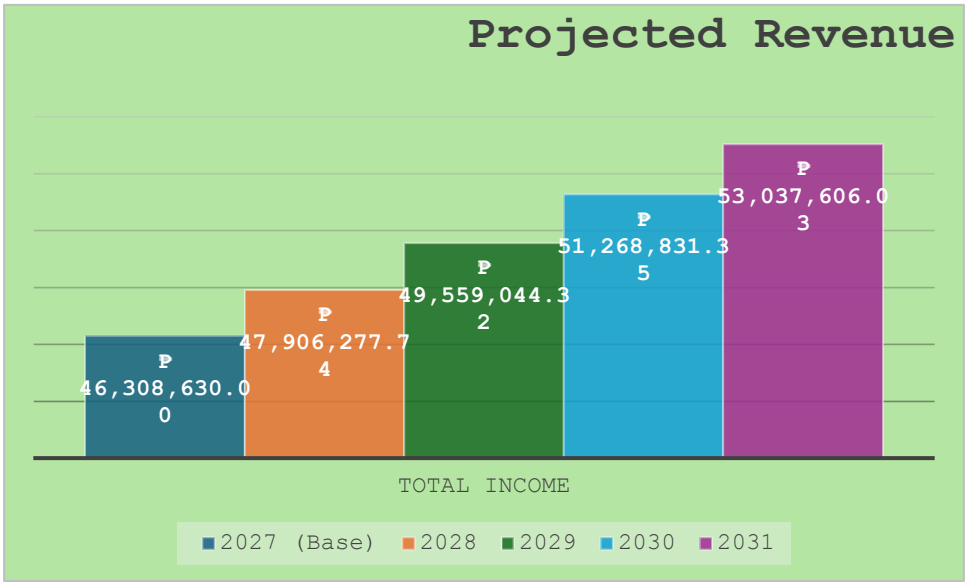
Profitability & Financial Feasibility Conclusion

Subtracting total administrative operating expenses (**₱7,842,433.28**) from gross profit (**₱20,835,321.18**) and adding interest/other income (**₱10,849.54**) yields a net operating surplus of **₱13,003,737.44**.

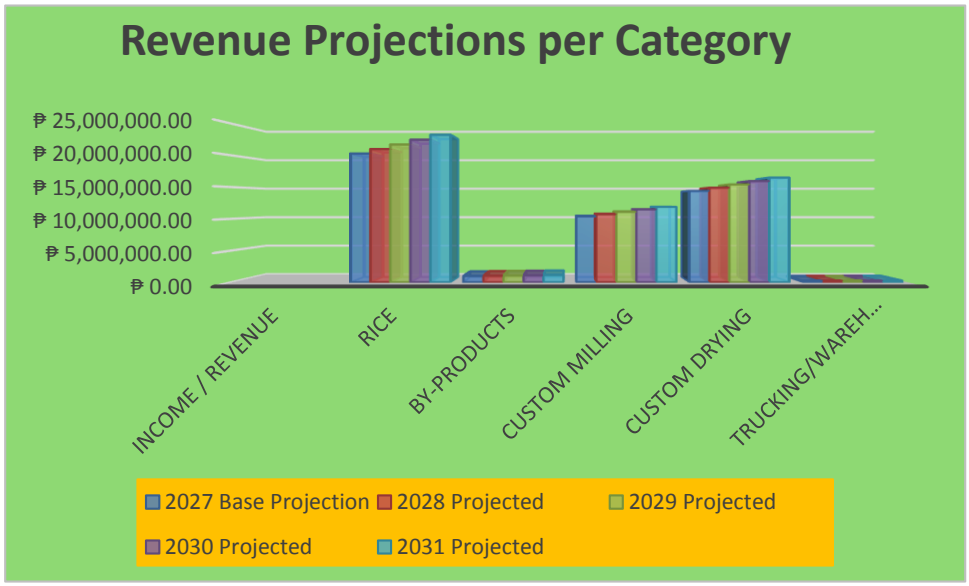


The Graph shows strong profit conversion. Generating a 28.08% net margin under full operational capacity demonstrates that the Iloilo Rice Processing Complex possesses robust financial viability, robust liquidity, and long-term economic sustainability.

The projected Financial Statements for the next 5 years are shown below. It should be noted that the growth in revenues and profitability are evident in the trend over the period 2027-2031.



The projected revenues for the period 2027 to 2031 is upward at a growth rate of 3.45% per annum over a five year period of 2027-2031. As shown on the graphs below, the growth in revenue also causes the profit line to have the same trajectory which gives a positive signal that growth is sustainable.





	2027 (Base)	2028	2029	2030	2031
NET OPERATING INCOME	₱ 13,003,737.44	₱ 13,510,335.86	₱ 14,035,590.45	₱ 14,580,179.93	₱ 15,144,807.47
Total Administrative Expenses	₱ 7,842,433.28	₱ 8,070,016.37	₱ 8,304,658.46	₱ 8,546,579.29	₱ 8,796,005.50
Total Directly Related Costs	₱ 25,473,308.82	₱ 26,337,100.53	₱ 27,230,305.68	₱ 28,153,927.71	₱ 29,109,004.31
Total Income	₱ 46,308,630.00	₱ 47,906,277.74	₱ 49,559,044.32	₱ 51,268,831.35	₱ 53,037,606.03

RICE MILLING & CUSTOM SERVICES - 5-YEAR MASTER FINANCIAL PROJECTIONS (2027 - 2031)

Incorporating Iloilo Population Growth (0.45%) and Philippine Headline Inflation (3.00%) Across Revenue & Expenses

Macroeconomic Growth Rates Reference Block:					
Driver Description	**2027 (Base)**	**2028**	**2029**	**2030**	**2031**
Inflation Rate (BSP)	**0.00%**	**3.00%**	**3.00%**	**3.00%**	**3.00%**
Population Growth Rate (Iloilo)	**0.00%**	**0.45%**	**0.45%**	**0.45%**	**0.45%**
Composite Growth Rate (Revenue & Var Exp)	**0.00%**	**3.45%**	**3.45%**	**3.45%**	**3.45%**
Fixed Cost Escalation Rate	**0.00%**	**0.00%**	**0.00%**	**0.00%**	**0.00%**

Financial Statement Item	2027 Base Projection	2028 Projected	2029 Projected	2030 Projected	2031 Projected
INCOME / REVENUE					
Rice	₱ 20,279,000.00	₱ 20,978,625.50	₱ 21,702,388.08	₱ 22,451,120.47	₱ 23,225,684.12
By-Products	₱ 1,013,950.00	₱ 1,048,931.28	₱ 1,085,119.40	₱ 1,122,556.02	₱ 1,161,284.21
Custom Milling	₱ 10,368,000.00	₱ 10,725,696.00	₱ 11,095,732.51	₱ 11,478,535.28	₱ 11,874,544.75
Custom Drying	₱ 14,400,000.00	₱ 14,896,800.00	₱ 15,410,739.60	₱ 15,942,410.12	₱ 16,492,423.27
Trucking/Warehousing	₱ 247,680.00	₱ 256,224.96	₱ 265,064.72	₱ 274,209.45	₱ 283,669.68
Total Income	**₱ 46,308,630.00**	**₱ 47,906,277.74**	**₱ 49,559,044.32**	**₱ 51,268,831.35**	**₱ 53,037,606.03**
LESS: DIRECTLY RELATED COSTS					
Raw Materials (Palay)	₱ 15,000,000.00	₱ 15,517,500.00	₱ 16,052,853.75	₱ 16,606,677.20	₱ 17,179,607.57
Freight In	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00
Farmers' Incentives	₱ 83,333.33	₱ 83,708.33	₱ 84,085.02	₱ 84,463.40	₱ 84,843.49
Direct Labor (Pakyaw)	₱ 1,583,755.15	₱ 1,638,394.70	₱ 1,694,919.32	₱ 1,753,394.04	₱ 1,813,886.13
Electricity	₱ 6,020,121.90	₱ 6,227,816.11	₱ 6,442,675.76	₱ 6,664,948.07	₱ 6,894,888.78
Indirect Labor	₱ 1,859,925.84	₱ 1,915,723.62	₱ 1,973,195.32	₱ 2,032,391.18	₱ 2,093,362.92
Plant Supplies	₱ 926,172.60	₱ 953,957.78	₱ 982,576.51	₱ 1,012,053.81	₱ 1,042,415.42
Total Directly Related Costs	**₱ 25,473,308.82**	**₱ 26,337,100.53**	**₱ 27,230,305.68**	**₱ 28,153,927.71**	**₱ 29,109,004.31**
GROSS PROFIT	**₱ 20,835,321.18**	**₱ 21,569,177.20**	**₱ 22,328,738.63**	**₱ 23,114,903.64**	**₱ 23,928,601.72**
ADMINISTRATIVE EXPENSES					
Communications Expense	₱ 27,000.00	₱ 27,810.00	₱ 28,644.30	₱ 29,503.63	₱ 30,388.74
Clothing Expense	₱ 28,600.00	₱ 29,458.00	₱ 30,341.74	₱ 31,251.99	₱ 32,189.55
Commissions	₱ 13,892.54	₱ 14,371.83	₱ 14,867.66	₱ 15,380.60	₱ 15,911.23
Depreciation Expense	₱ 480,000.00	₱ 480,000.00	₱ 480,000.00	₱ 480,000.00	₱ 480,000.00
Food and Non Food Expense- Meetings	₱ 60,201.00	₱ 62,007.03	₱ 63,867.24	₱ 65,783.26	₱ 67,756.76
Freight Out	₱ 143,556.23	₱ 148,508.92	₱ 153,632.48	₱ 158,932.80	₱ 164,415.98
Gasoline, Oil and Lubricants	₱ 463,084.60	₱ 479,061.02	₱ 495,588.62	₱ 512,686.43	₱ 530,374.11
Insurance	₱ 125,032.84	₱ 128,783.83	₱ 132,647.34	₱ 136,626.76	₱ 140,725.56
Indemnities	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00
Miscellaneous Expense	₱ 32,415.92	₱ 33,388.40	₱ 34,390.05	₱ 35,421.75	₱ 36,484.40
Office Supplies Expenses	₱ 92,616.92	₱ 95,395.43	₱ 98,257.29	₱ 101,205.01	₱ 104,241.16
Other Bon. & Allow. - 13th &14th Month Alloc.	₱ 937,630.00	₱ 965,758.90	₱ 994,731.67	₱ 1,024,573.62	₱ 1,055,310.83
SSS/GSIS,HDMF, PhilHealth	₱ 931,504.50	₱ 959,449.64	₱ 988,233.12	₱ 1,017,880.12	₱ 1,048,416.52
Professional Fees	₱ 100,000.00	₱ 103,000.00	₱ 106,090.00	₱ 109,272.70	₱ 112,550.88
Repairs & Maintenance Expenses	₱ 824,290.59	₱ 852,728.62	₱ 882,147.75	₱ 912,581.85	₱ 944,065.92
Trainings and Seminars	₱ 100,000.00	₱ 103,000.00	₱ 106,090.00	₱ 109,272.70	₱ 112,550.88
Salaries Expense	₱ 3,325,159.38	₱ 3,424,914.16	₱ 3,527,661.59	₱ 3,633,491.43	₱ 3,742,496.18
Taxes, Duties & Licenses	₱ 55,570.15	₱ 57,237.25	₱ 58,954.37	₱ 60,723.00	₱ 62,544.69
Travel Expense	₱ 55,570.15	₱ 57,237.25	₱ 58,954.37	₱ 60,723.00	₱ 62,544.69
Water	₱ 46,308.46	₱ 47,906.10	₱ 49,558.86	₱ 51,268.64	₱ 53,037.41
Total Administrative Expenses	**₱ 7,842,433.28**	**₱ 8,070,016.37**	**₱ 8,304,658.46**	**₱ 8,546,579.29**	**₱ 8,796,005.50**
NET OPERATING INCOME	**₱ 12,992,887.90**	**₱ 13,499,160.83**	**₱ 14,024,080.17**	**₱ 14,568,324.35**	**₱ 15,132,596.22**
OTHER INCOME	₱ 10,849.54	₱ 11,175.03	₱ 11,510.28	₱ 11,855.59	₱ 12,211.25
NET SURPLUS (LOSS)	**₱ 13,003,737.44**	**₱ 13,510,335.86**	**₱ 14,035,590.45**	**₱ 14,580,179.93**	**₱ 15,144,807.47**

Financial Analyses					
	2027	2028	2029	2030	2031
Total Revenue	₱ 46,308,630.00	₱ 47,906,277.74	₱ 49,559,044.32	₱ 51,268,831.35	₱ 53,037,606.03
Total Variable Cost	17,593,261.08	18,193,560.81	18,814,434.60	19,456,588.45	20,120,752.60
Total Fixed Costs	15,722,481.02	16,213,556.10	16,720,529.54	17,243,918.55	17,784,257.20
Operating Income /EBIT	12,992,887.90	13,499,160.83	14,024,080.17	14,568,324.35	15,132,596.22
EBITDA	13,472,887.90	13,979,160.83	14,504,080.17	15,048,324.35	15,612,596.22
EBITDA rate	29%	29%	29%	29%	29%
Variable Rate	38%	38%	38%	38%	38%
Cont Margin ratio	62%	62%	62%	62%	62%
Breakeven Sales	25,355,291.73	26,141,369.82	26,952,804.81	27,790,418.76	28,655,060.52
Cash Income	13,483,737.44	13,990,335.86	14,515,590.45	15,060,179.93	15,624,807.47
Payback	1 year and 2 months				
Average Operating Income	14,043,409.89				
ROI	94%				
Revenue Growth Factor over 4 growth periods	1.145307171				
Revenue Growth rate	3.45%				

The following are notable highlights in the Financial Analyses:

1) EBITDA is positive which constitutes 29% of the Total revenue over a period of five years

2) The Contribution Margin ratio is 62% which means that it can cover the annual Fixed Costs of Operations.

3) Breakeven Sales is at 25 Million pesos representing Sales that must be earned to make positive profits

4)Return on Investment is a high of 94%.

5) Revenue grows at an annual rate of 3.45%

Conclusion and Recommendations

Based on the foregoing, the following Conclusion and recommendations are forwarded:

1. The operations of the Rice Processing Complex evidently shows profitability and growth and should be enhanced with the infusion of capital to boost operations and optimize the utilization of its full capacity;
2. The Organization and management should be concretized with a properly defined organizational structure which should improve its functionality;
3. The market is rich and for the taking. The IRPC should actively and strategically tap the market for the sustainability of its operations.
4. Proper fund management should be employed to financially sustain the operations of IRPC and to avoid the previous mistakes made by the previous operators/ managers of IRPC.
5. The operation of the facility as a Local Economic Enterprise should be subjected to regular periodic Internal Audit to ensure compliance to policies and procedures including regulatory compliances and government Audit.
6. A Concrete Business Plan should be put in place and the necessary budget requirements should be processed for the start of IRPCs enhanced operations in 2027 and continuing,